

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$4.14 ▲ 2.99%	12M Price Target \$4.75	52-Week Range \$3.01 – \$9.39	Market Cap \$1.98B
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BBAI: Panama Deal Reframes Commercial Pivot; Reiterate Hold

WHAT'S CHANGED

- Panama border-security deal (Simply Wall St., Insider Monkey, MarketBeat coverage 6/8–6/9) reframes narrative from pure-play defense IT to international/commercial AI — first foundational LatAm reference win.
- Stock rebounding +2.99% to \$4.14 after testing \$3.99 intraday on 6/9; sits at just 18% of 52-week range with options flow decisively bullish (P/C 0.36, unusual call buying at \$0.50/\$1.00 strikes).

IMPLICATIONS

The Panama win is strategically material because it validates BBAI's ability to monetize its Pangiam/biometrics stack outside US federal channels — historically the bear-case ceiling on the name. With Tech +3.73% today and Industrials +3.24%, BBAI sits at the intersection of two re-accelerating themes (AI infrastructure + defense/border security), yet the stock remains pinned near the bottom of its 52-week range, suggesting the market is pricing execution skepticism rather than narrative. Near-term tape will be driven by whether the company can convert this reference win into a visible pipeline on the Q2 print.

VALUATION

At \$1.98B market cap on ~\$178M FY26E revenue, BBAI trades at ~11x EV/Revenue — a steep premium to defense-IT peers (3–5x) but a meaningful discount to PLTR (~50x+). Our \$4.75 base PT assumes ~12x FY27E revenue, implying ~15% upside; bull case to \$8 requires multiple re-rate to 18x on accelerating commercial mix. The key swing factor is gross margin trajectory — sustained sub-30% GM caps any multiple expansion regardless of top-line growth.

KEY RISKS

- Equity dilution risk: BBAI has historically funded operations via ATM issuance; another raise near current levels would cap upside.
- Customer concentration: still heavily levered to DoD/DHS/IC budgets; any continuing resolution or program slip hits near-term revenue.
- Commercial execution: Panama deal must convert into repeatable LatAm/airport biometrics pipeline; one-off contract risk is real.

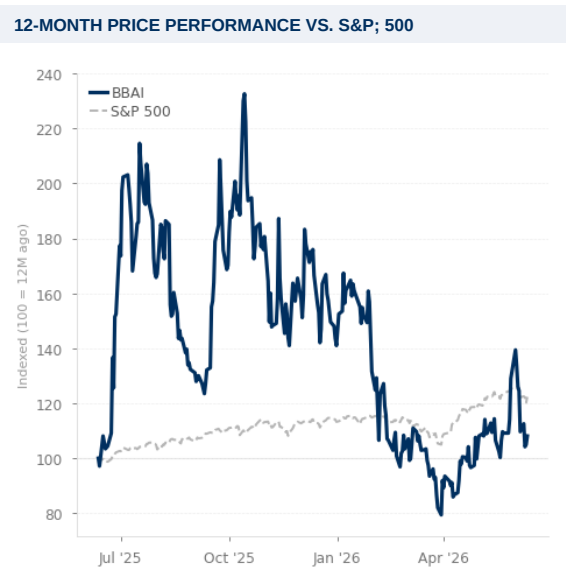
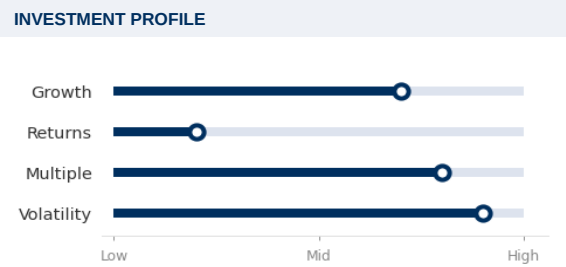
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Key Data	
Price (USD)	\$4.14
12M Price Target	\$4.75
Upside / (Downside)	+14.7%
Market Cap	\$1.98B
FY2026E Revenue	\$178M
FY2027E Revenue	\$215M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$5.25	\$4.30	\$3.40
6 Months	\$6.50	\$4.75	\$3.10
1 Year	\$8.00	\$5.25	\$2.75
2 Years	\$11.00	\$6.50	\$2.25
5 Years	\$18.00	\$9.00	\$1.50
10 Years	\$30.00	\$14.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.73%), Industrials (+3.24%)

COLD SECTORS: Comm. Svcs (-0.88% 5D), Cons. Disc. (-0.82% 5D)

ROTATION WATCH: Today's broad risk-on bid in Tech/Industrials/Materials suggests money rotating back into AI and defense-adjacent industrials after a -5% Tech 5D drawdown; small-cap AI names like BBAI should benefit disproportionately if the bid sustains.

BYPRODUCT PLAY: Border-security AI tailwinds also benefit biometrics/identity peers (CLAR, IDN) and edge-AI infrastructure suppliers; defense primes (KTOS, AVAV) capture overlapping budget dollars.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): commands ~50x+ EV/Revenue on demonstrated commercial AIP traction — the multiple BBAI bulls implicitly underwrite.
- SOUN (SoundHound): Zacks today highlights LivePerson partnership as \$500M opportunity, similar narrative-driven re-rate playbook BBAI is attempting.

BBAI CONTEXT: BBAI is lagging the AI peer cohort — sitting at 18% of 52-week range while Tech ETF rebounds today suggests the market still discounts BBAI's execution relative to PLTR/SOUN. Closing that gap requires demonstrable commercial bookings, not just press releases.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$3.30-\$3.60 on technical retest of 52-wk lows

Time Horizon: 12-18 months

Thesis Invalidation: Commercial bookings stall, dilutive raise <\$4, or loss of DoD/DHS prime work

Hedging: Pair short vs. PLTR or long-dated \$3 puts ahead of next print